

NEE

NEE N/A

Buy	\$88.08 ▼ 0.53%	12M Price Target \$102.00	52-Week Range \$66.77 – \$98.75	Market Cap \$183.70B
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NEE: Morgan Stanley Reiterates Bullish Despite PT Trim; Reiterate Buy

WHAT'S CHANGED

- Morgan Stanley reiterated bullish stance on NEE despite price target cut (Insider Monkey, 5/26) — supportive sell-side commentary into a -0.53% session on light volume (5.45M vs ~15M avg).
- Motley Fool framing of NEE/Dominion combination as path to "world's largest electric utility" keeps M&A optionality narrative in focus; nuclear-EO headlines (Trump science advisor) reinforce regulatory tailwind for NEE's nuclear fleet.

IMPLICATIONS

Morgan Stanley's PT trim with maintained bullish rating signals modest near-term estimate calibration rather than thesis change — typical pattern when rate-curve assumptions tick higher against utility DCFs. The Dominion combination narrative, if it gains substance, would reset NEE's growth profile via scale economies in renewables development and data-center load capture. Nuclear-friendly executive action is incrementally accretive to NEE's existing Seabrook/Duane Arnold optionality and FPL nuclear base.

VALUATION

At \$88.08, NEE trades ~23.7x FY26E EPS and ~14.5x EV/EBITDA — a justified premium to regulated-utility peers (~18-19x) given the renewables development pipeline and FPL's superior ROE profile. Our \$102 base PT implies ~16% upside via 25x FY27E EPS of \$4.05, anchored by a sum-of-parts (FPL at 22x, Energy Resources at 14x EV/EBITDA). Multiple expansion driver: AI/data-center power demand re-rating renewables developers; contraction risk: 10Y yield back above 5%.

KEY RISKS

- Interest-rate sensitivity: long-duration cash flows compress on backup in 10Y yields
- Regulatory/IRA risk: tax credit transferability or PTC monetization changes hit Energy Resources economics
- Dominion JV execution risk — antitrust review, customer/regulatory state approvals across multi-state footprint

RECENT NEWS

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Key Data	
Price (USD)	\$88.08
12M Price Target	\$102.00
Upside / (Downside)	+15.8%
Market Cap	\$183.70B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$30,800M
FY2026E EPS	\$3.72
FY2027E EPS	\$4.05
Fwd P/E	23.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$90.00	\$84.00
6 Months	\$102.00	\$95.00	\$80.00
1 Year	\$112.00	\$102.00	\$78.00
2 Years	\$130.00	\$115.00	\$82.00
5 Years	\$175.00	\$145.00	\$90.00
10 Years	\$240.00	\$190.00	\$105.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+5.79% 5D), Utilities (+3.63% 5D)

COLD SECTORS: Financials (+0.38% 5D), Materials (relative)

ROTATION WATCH: Utilities catching a bid alongside Tech is atypical and signals AI/data-center power-demand thematic taking hold; expect continued institutional flows into regulated names with renewables exposure as a "Tech-adjacent" trade.

BYPRODUCT PLAY: Transmission/grid build-out beneficiaries (GEV, ETN, PWR) and nuclear fuel-cycle names (CCJ, LEU) capture the same demand thesis with less rate-sensitivity than NEE.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): nuclear PPA repricing with hyperscalers driving consensus EPS upgrades; trading at premium to NEE on pure-play nuclear narrative.
- VST (Vistra): despite 3-month underperformance noted by Zacks, retains best-in-class FCF generation and AI-power leverage.

NEE CONTEXT: NEE at 67% of 52-week range is lagging pure-play IPPs (CEG/VST) but outperforming pure regulated peers (SO, DUK) — reflecting market's hybrid valuation. Pulling away from regulated cohort, lagging deregulated cohort; the Dominion deal is the catalyst to bridge that gap.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$84-88 on pullbacks; add aggressively <\$80

Time Horizon: 12-24 months

Thesis Invalidation: Dominion JV breakdown, FPL ROE compression, or EPS CAGR slipping below 6%

Hedging: Pair long NEE vs short XLU or short higher-multiple IPP (VST/CEG)